



INTERIM FINANCIAL STATEMENTS
30th June 2017

TAPROBANE HOLDINGS PLC AND ITS SUBSIDIARIES
STATEMENT OF PROFIT OR LOSS

	GROUP			COMPANY		
	2017 LKR	2016 LKR	% Change	2017 LKR	2016 LKR	% Change
For the Period Ended 30th June, Continuing Operations						
Revenue	2,456,568,067	2,540,115,488	-3%	82,372,673	67,424,850	22%
Direct Cost	(2,035,270,278)	(2,061,579,898)	-1%	-	-	-
Gross Profit	421,297,790	478,535,590	-12%	82,372,673	67,424,850	22%
Investment and Other Income	3,197,771	36,042,714	-91%	(2,955,481)	2,769,423	-207%
Selling and Distribution Expenses	(111,679,039)	(92,420,454)	21%	-	-	-
Administrative Expenses	(317,988,960)	(247,614,457)	28%	(23,850,642)	(9,354,316)	155%
Impairment of Trade and Other Receivables	1,008,035	444,544	127%	-	-	-
Change in Fair Value of Financial Assets Held for Trading	391,367,832	85,538,523	358%	5,760,650	27,736,101	-79%
Finance Cost	(198,349,862)	(164,396,936)	21%	(145,291,587)	(117,866,104)	23%
Profit/(Loss) Before Income Tax from Continuing Operations	188,853,565	96,129,527	96%	(83,964,387)	(29,290,046)	187%
Income Tax Expense	(29,128,028)	(14,991,372)	94%	-	-	-
Profit/(Loss) for the Period from Continuing Operations	159,725,538	81,138,155	97%	(83,964,387)	(29,290,046)	187%
Discontinued Operations						
Profit/(Loss) after tax for the period from discontinued operations	(605,860)	(738,824)	-18%	-	-	-
Profit/(Loss) for the period	159,119,678	80,399,331	98%	(83,964,387)	(29,290,046)	187%
Profit Attributable to:						
Equity Holders of the Company	120,782,361	63,087,452	91%	(83,964,387)	(29,290,046)	187%
Non - Controlling Interests	38,337,316	17,311,879	121%	-	-	-
	159,119,678	80,399,331	98%	(83,964,387)	(29,290,046)	187%
Basic Earnings / (Deficit) Per Share	0.12	0.06		(0.08)	(0.03)	

The Notes form an integral part of these Financial Statements
Figures in bracket indicate deductions

TAPROBANE HOLDINGS PLC AND ITS SUBSIDIARIES
STATEMENT OF OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
For the Period Ended 30th June,	2017 LKR	2016 LKR	2017 LKR	2016 LKR
Profit/ (Loss) for the Period	159,119,678	80,399,331	(83,964,387)	(29,290,046)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	-	-	-	228,088
Related Tax	-	-	-	(63,865)
	-	-	-	164,223
Items that are or may be reclassified to profit or loss				
Currency Translation of Foreign Operation	-	14,255,731	-	-
	-	14,255,731	-	-
	-		-	
Total Other Comprehensive Income	-	14,255,731	-	164,223
Total Comprehensive Income for the Period	159,119,678	94,655,062	(83,964,387)	(29,125,823)
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	120,782,361	74,135,757	(83,964,387)	(29,125,823)
Non - Controlling Interests	38,337,316	20,519,304	-	-
	159,119,678	94,655,062	(83,964,387)	(29,125,823)

TAPROBANE HOLDINGS PLC AND ITS SUBSIDIARIES
STATEMENT OF FINANCIAL POSITION

As at,	GROUP		COMPANY	
	30-Jun-17 LKR	31-Mar-17 LKR	30-Jun-17 LKR	31-Mar-17 LKR
ASSETS				
Non-Current Assets				
Property, Plant & Equipment	4,736,502,443	4,785,156,824	625,210	697,514
Intangible Assets	77,947,258	81,612,830	-	-
Biological Assets	45,881,950	45,881,950	-	-
Investment Property	1,164,600,687	1,164,600,686	25,000,000	25,000,000
Investment in Subsidiaries	-	-	4,779,561,060	4,779,561,060
Other Financial Assets	21,851,138	36,166,883	-	-
Deferred Tax Asset	71,487,415	71,487,404	1,088,655	1,088,655
Deposit with Colombo Stock Exchange	2,750,000	2,750,000	-	-
	6,121,020,890	6,187,656,577	4,806,274,925	4,806,347,229
Current Assets				
Inventories	2,898,946,974	2,407,814,066	-	-
Other Financial Assets	2,961,856,430	1,746,969,989	1,527,261,088	143,974,190
Trade & Other Receivables	1,897,054,078	1,801,525,786	46,899,893	45,832,432
Income Tax Recoverable	7,066,940	32,271,096	12,814	12,816
Cash & Cash Equivalents	809,681,434	815,416,259	106,752	106,750
	8,574,605,855	6,803,997,195	1,574,280,547	189,926,188
Assets classified as Held for Sale	945,070,313	945,070,313	-	-
Total Assets	15,640,697,058	13,936,724,085	6,380,555,472	4,996,273,417
EQUITY AND LIABILITIES				
Equity				
Stated Capital	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Foreign Currency Translation Reserve	(394,994)	(394,994)	-	-
Retained Earnings	2,143,210,086	2,022,427,725	518,734,066	602,698,453
Revaluation Reserves	445,801,569	445,801,569	-	-
Equity Attributable to Equity Holders of the Company	3,642,260,065	3,521,477,704	1,572,377,471	1,656,341,858
Non Controlling Interests	2,101,914,962	2,063,577,645	-	-
Total Equity	5,744,175,027	5,585,055,349	1,572,377,471	1,656,341,858
Non-Current Liabilities				
Interest Bearing Loans & Borrowings	894,949,696	913,471,560	-	-
Retirement Benefit Obligations	264,907,791	260,078,371	3,888,054	3,888,054
Deferred Tax Liability	239,670,094	239,670,882	96,824	96,824
Deferred Income	282,000	387,745	-	-
	1,399,809,581	1,413,608,558	3,984,878	3,984,878
Current Liabilities				
Trade and Other Payables	2,365,953,815	1,654,215,855	1,173,642,863	1,037,991,760
Income Tax Payable	40,556,383	52,648,398	-	-
Interest Bearing Loans & Borrowings	6,081,350,852	5,227,463,701	3,630,550,260	2,297,954,921
	8,487,861,049	6,934,327,954	4,804,193,123	3,335,946,681
Liabilities Directly Associated with Assets Classified as Held for Sale	8,851,402	3,732,224	-	-
Total Equity and Liabilities	15,640,697,058	13,936,724,085	6,380,555,472	4,996,273,417
Net Assets Per Share (Rs.)	3.63	3.51	1.57	1.65

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.

Sgd.
Haritha C. Perera
Chief Financial Officer

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.

Sgd.
A. L. Devasurendra
Deputy Chairman

Sgd.
Murali Prakash
Group Managing Director/ CEO

10th August 2017
Colombo

TAPROBANE HOLDINGS PLC AND ITS SUBSIDIARIES
STATEMENT OF CHANGES IN EQUITY

GROUP	Attributable to Equity Holders of the Company					Non Controlling Interests	Total Equity
	Stated Capital	Revaluation Reserve	Foreign Currency Translation Reserve	Retained Earnings	Total		
	Rs.			Rs.	Rs.	Rs.	Rs.
Balance as at 31 March 2016	1,053,643,405	407,065,147	(6,022,629)	2,218,276,530	3,672,962,453	1,730,158,022	5,403,120,475
Profit / (Loss) for the period				63,087,452	63,087,452	17,311,879	80,399,331
Other Comprehensive Income				11,048,306	11,048,306	3,207,425	14,255,731
Balance as at 30 June 2016	1,053,643,405	407,065,147	(6,022,629)	2,292,412,287	3,747,098,210	1,750,677,327	5,497,775,537
Profit / (Loss) for the Period	-	-	-	(112,830,104)	(112,830,104)	154,339,253	41,509,149
Other Comprehensive Income	-	52,722,831	(114,599)	1,604,691	54,212,922	33,773,478	87,986,400
Total Comprehensive Income for the period	-	52,722,831	(114,599)	(111,225,413)	(58,617,182)	188,112,732	129,495,550
Transactions with owners of the Company							
Contributions and Distributions							
Dividend				-	-	(47,957,971)	(47,957,971)
Total Contributions and Distributions	-	-	-	-	-	(47,957,971)	(47,957,971)
Transfer of Revaluation Reserve Upon Disposal	-	(13,986,409)	-	13,986,409	-	-	-
Reclassification of Exchange Reserve	-	-	5,742,234	-	5,742,234	-	5,742,234
Changes in ownership interest							
Changes in ownership interest without changes in control	-	-	-	(172,745,558)	(172,745,558)	172,745,558	-
Total changes in ownership interest	-	-	-	(172,745,558)	(172,745,558)	172,745,558	-
Total Transactions with owners of the Company	-	-	-	(172,745,558)	(172,745,558)	124,787,587	(47,957,971)
Balance as at 31 March 2017	1,053,643,405	445,801,569	(394,994)	2,022,427,725	3,521,477,704	2,063,577,645	5,585,055,349
Profit / (Loss) for the period				120,782,361	120,782,361	38,337,316	159,119,678
Other Comprehensive Income				-	-	-	-
Balance as at 30 June 2017	1,053,643,405	445,801,569	(394,994)	2,143,210,086	3,642,260,065	2,101,914,962	5,744,175,027

COMPANY	Stated Capital	Retained Earnings	Total Equity
	Rs.	Rs.	Rs.
Balance as at 31st March 2016	1,053,643,405	980,602,941	2,034,246,346
Profit / (Loss) for the period		(29,290,046)	(29,290,046)
Balance as at 30 June 2016	1,053,643,405	951,312,895	2,004,956,300
Profit for the period	-	(348,778,666)	(348,778,666)
Other Comprehensive Income	-	164,223	164,223
Total Comprehensive Income for the period		(348,614,443)	(348,614,443)
Balance as at 31st March 2017	1,053,643,405	602,698,452	1,656,341,858
Profit / (Loss) for the period	-	(83,964,387)	(83,964,387)
Balance as at 30 June 2017	1,053,643,405	518,734,065	1,572,377,471

TAPROBANE HOLDINGS PLC AND ITS SUBSIDIARIES
CASH FLOW STATEMENT

	CONSOLIDATED		COMPANY	
	2017 Rs.	2016 Rs.	2017 Rs.	2016 Rs.
For the period Ended 30th June,				
Cash flows From Operating Activities				
Profit before Taxation	188,853,565	96,129,527	(83,964,387)	(29,290,046)
Profit/(Loss) before tax from discontinued operations	(350,919)	(738,824)	-	-
Adjustment for				
Depreciation, amortization and impairment charges	84,904,614	77,107,458	72,304	84,116
Amortisation of Intangible Assets	3,609,075	-	-	-
Change in Fair Value of Financial Assets Held for Trading	(388,700,038)	(85,538,523)	(5,760,650)	(27,736,101)
Provision for Retirement Gratuity	14,695,738	10,742,913	-	-
Interest Income	(8,448,975)	(5,789,600)	-	-
Interest Expense	(89,773,467)	72,827,861	-	-
Dividend Income	(4,678,609)	-	-	-
(Gain)/Loss on disposal of Property, Plant & Equipment	-	(866,000)	-	-
Impairment of trade and other receivables	18,955,949	14,854	-	-
Deferred income	(105,745)	(105,745)	-	-
(Gain)/Loss on disposals of Investments in Shares	(5,407,073)	-	5,644,023	-
Operating Profit before Working Capital Changes	(186,445,884)	163,783,920	(84,008,711)	(56,942,031)
(Increase)/Decrease in Inventories	(491,132,909)	(361,406,847)	-	-
(Increase)/Decrease in Trade & Other Receivables	(95,528,292)	120,205,543	(1,067,457)	18,451,349
Increase/(Decrease) in Trade & Other Payable	711,737,960	92,026,751	135,651,104	(8,603,251)
Cash Generated from Operations	(61,369,124)	14,609,367	50,574,936	(47,093,933)
Interest Paid	89,773,347	(72,827,861)	-	-
Income Tax Paid	(16,271,379)	(13,915,806)	-	(13,915,806)
Retiring Gratuity Paid	(9,866,041)	(14,294,628)	-	-
Net Cash Flow from Operating Activities	2,266,802	(86,428,928)	50,574,936	(61,009,739)
Cash Flow from Investing Activities				
Net Proceeds from Government Securities	(1,367,772,028)	(652,786,857)	(1,383,170,273)	(703,761,578)
Acquisition of Property, Plant & Equipment	(36,250,558)	(59,686,082)	-	(12,900)
Purchase of Intangible Assets	(1,026,000)	-	-	-
Acquisition of Investment	(169,442)	(63,286,459)	-	-
Dividend Received	499	-	-	-
Proceeds on Disposal of Property, Plant & Equipment	-	1,008,000	-	-
Proceeds from sale of Investments	590,018,738	359,435,117	-	-
Interest Income Received	5,585,604	5,789,600	-	-
Net Cash Flow Used in Investing Activities	(809,613,187)	(409,526,681)	(1,383,170,273)	(703,774,478)
Cash Flow from Financing Activities				
Loan Received	1,252,353,830	1,212,367,602	1,243,367,113	1,131,151,615
Repayments of Loans	(118,636,789)	(560,729,725)	(70,299,401)	(533,839,187)
Net Cash Flow from Financing Activities	1,133,717,041	651,637,877	1,173,067,712	597,312,429
Net Increase/Decrease in Cash & Cash Equivalent during the period	326,370,656	155,682,267	(159,527,624)	(167,471,789)
Cash & Cash Equivalents				
Net foreign exchange difference	-	14,255,731	-	-
Net movement during the period	326,370,656	155,682,267	(159,527,624)	(167,471,789)
At the beginning of the period	(1,841,199,439)	(2,238,956,273)	(1,866,578,857)	(1,536,067,895)
At the end of the year (Note A)	(1,514,828,783)	(2,069,018,275)	(2,026,106,481)	(1,703,539,684)
Note A-Cash and Equivalents are as follows				
Cash in Hand & Bank	1,567,248,369	683,478,634	106,752	295,887
Bank & Other Borrowings	(3,082,077,153)	(2,752,496,908)	(2,026,213,234)	(1,703,835,571)
	(1,514,828,783)	(2,069,018,275)	(2,026,106,481)	(1,703,539,684)

1 Corporate Information

The Company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company's Act No 7 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Dri Savi Board of Colombo Stock Exchange and subsequently changed its name to Taprobane Holdings PLC on 13th July 2012.

The Interim Financial Statements of the Group and the Company for the three months ended 30th June 2017 were authorised for issue by the Board of Directors on 10th August 2017.

2 Basis of Preparation

The Institute of Chartered Accountants of Sri Lanka has issued a new volume of Sri Lanka Accounting Standards which became applicable for financial periods beginning on or after 1st January 2012. The Consolidated Financial Statements of the Group and the Financial Statements of the company which comprise the Statement of Financial Position, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Notes thereto have been prepared in accordance with these Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka.

These interim consolidated financial statements should be read in conjunction with the annual financial statements for the year ended 31 March 2016. The Accounting policies are in line with the policies published in the annual financial statements for the year ended 31 March 2016.

3 Segment Information - Group

		CONSOLIDATED	
		2017/18	2016/17
		3 Months	3 Months
(a) Revenue			
Manufacturing		2,296,866,190	2,432,217,351
Financial Services		157,551,959	103,081,076
Others		2,149,919	4,817,061
Revenue		2,456,568,067	2,540,115,488
Direct Expenses		(2,035,270,278)	(2,061,579,898)
Gross Profit		421,297,790	478,535,590
(b) Industry Segment Profit			
Manufacturing		(61,112,072)	66,966,343
Financial Services		255,620,574	27,432,331
Others		(5,654,936)	1,730,853
Profit Before Income Tax		188,853,565	96,129,527
Income Tax Expense		(29,128,028)	(14,991,372)
Profit/(Loss) for the period from continuing operations		159,725,538	81,138,155
Discontinued operations		(605,860)	(738,824)
Profit/(Loss) for the Period		159,119,678	80,399,331
Other Comprehensive Income for the period (Net of Tax)		-	14,255,731
Total Comprehensive Income for the period		159,119,678	94,655,062
Sector comprise of ,			
Manufacturing	: Footwear, Porcelain & Textile		
Financial Services	: Money broking, Stock broking , Corporate Finance, Margin Trading & Investment		
Others	: Property , Leisure & Plantation		

4 Stated Capital

Stated Capital is represented by number of shares in issue as given below:

	2017	2016
Ordinary Shares	1,002,724,815	1,002,724,815

5 Related Party Transactions

The nature of Related Party Transactions in the period under review is similar to those reported in the annual report for the year 2015/16.

6 Share Information

6.1 Market Price per Share

30.06.2017 30.06.2016

The market value of an ordinary share of Taprobane Holdings PLC was as follows:

Last traded price recorded for 3 months ended	4.40	4.00
Highest price recorded for 3 months ended	5.10	5.00
Lowest price recorded for 3 months ended	4.00	4.00

6.2 Public Share Holdings

The percentage of shares held by the public as at 30th June 2017 was 0.80%.

No of public shareholders as at 30th June 2017 were 608.

6.3 Twenty Major Shareholders

Name of Shareholders	30.06.2017	
	Number of Shares	(%)
1 CHC INVESTMENT (PVT) LTD	568,327,024	56.68%
2 SEYLAN BANK PLC/ARRC CAPITAL(PVT) LIMITED (COLLATERAL)	180,000,000	17.95%
3 SEYLAN BANK PLC/ARRC CAPITAL (PVT) LTD	175,526,332	17.50%
4 COMMERCIAL BANK CEYLON PLC/ARC CAPITAL (PVT) LTD	51,190,106	5.11%
5 SEYLAN BANK LIMITED/RUWAN PRASANNA SUGATHADASA	18,241,706	1.82%
6 MR. SARINDA WASANTH UNAMBOOWE	915,700	0.09%
7 MS FLEUR ANNALEEN ANN MACK	720,100	0.07%
8 MR. KUMAR VIRAJ HEWAVITARNE	550,000	0.05%
9 MR. RANIL PRASAD PATHIRANA	500,000	0.05%
10 MRS. SHIRANI SUNILA SILVA	430,000	0.04%
11 MRS. BANURI KUMARI VANYA WICKRAMASINGHE	430,000	0.04%
12 MR. KANGASU CHELVADURAI VIGNARAJAH	274,547	0.03%
13 BANSEI SECURITIES CAPITAL(PVT) LTD/W.B.S. DE ALWIS	233,911	0.02%
14 MR. RAVINDRA ERLE RAMBUKWELLE	210,747	0.02%
15 MR. -RAM PRITAMDAS	200,496	0.02%
16 DR. DUSHANTHA HARSHIN HERATH WARIYAPOLA	200,000	0.02%
17 MR. KALYANAPRIYA JAYANTHA KIRIELLA	200,000	0.02%
18 MR. MICHAEL DE SARAM	190,000	0.02%
19 MR. PONNAHENNADIGE CHANNA DIAS	150,000	0.01%
20 MR. MOHAMED THASIM RAJABKHAN	133,000	0.01%
	998,623,669	99.59%

6.4 Directors' share holdings

	Number of Shares
Mr. S.E. Gardiner	Nil
Mr. P. D. J. Fernando	Nil
Mr. A. L. Devasurendra	138
Mr. S.H. Amarasekera	Nil
Mr. R.P. Pathirana	500,000
Mr. S.W. Unamboowe	915,700
Mr. P.D. Rodrigo	Nil
Mr.N.M. Prakash	20,477
	1,436,315

7 Earnings per Share

The computation of the Basic Earnings per Ordinary Share has been done based on net profit attributable to ordinary shareholders for the year, divided by

	Group		Company	
	30/06/2017	30/06/2016	30/06/2017	30/06/2016
<u>Amounts used as the Numerator</u>				
Net Profit / (Loss) Attributable to Ordinary Shareholders	120,782,361	63,087,452	(83,964,387)	(29,290,046)
Weighted Average Number of Ordinary Shares in Issue (Nos.)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings per Ordinary Share (Rs.)	0.12	0.06	(0.08)	(0.03)

8 Comparative Information

The presentation and classification of the financial statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

9 Commitment and Contingencies

LCI has provided corporate guarantee facilities to banks on behalf of its subsidiaries to obtain banking facilities. The details are as follows.

Name of the Company	Bank	Amount	Outstanding Balance as at 30 June
Royal Fernwood Porcelain Ltd	Peoples Bank	Rs. 65 Mn	Rs. 63Mn

10 Events after the Balance Sheet date

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the financial statements, except for the following.

Lanka Century Investments PLC and Group restructuring process

As part of Lanka Century Investments PLC and Group restructuring process, The company is in the process of acquiring minority shares held by Ceylon Leather product and issue a new shares for of seven Million six hundred and Sixty six thousand one hundred and sixty eight (7,666,108) new shares through share SWAP arrangement.

Colombo City Holdings PLC - Asset Classified as Held for Sale

Investment property of the Company which is located at Union Place, Colombo 02 is classified as held for sale. The Board of Directors decided to dispose the said Investment property on 14 October 2015, however due to a lack of committed action plans to dispose the property, it was not recognised as an Asset classified as held for sale in the previous years. The Company segregated the Investment Property into three lots and was able to secure a buyer for one lot. Since the Sale of this lot is highly probable, the asset was classified as held for sale in accordance with SLFRS 5.

On 31 July 2017, the Company entered into a Sales Agreement with Vision Care Optical Services (Private) Limited to sell an extent of 66.81 perches together with the building standing thereon, for a consideration of Sri Lankan Rupees One Thousand Million subject to obtaining approval of the shareholders at an Extraordinary General Meeting.

11 Interim figures are provisional and subject to an audit.

TAPROBANE HOLDINGS PLC AND ITS SUBSIDIARIES

CORPORATE INFORMATION

Name of the Company

Taprobane Holdings PLC

Legal Form

A Public Limited Liability Company

Quoted on the Colombo Stock Exchange on the 17th May 2012 and

Incorporated in Sri Lanka on 20th September 2006

Company Registration Number

PB 1090 PQ

Board of Directors

Mr. Sanjeev Edward Gardiner- Chairman

Mr. Ajith Lasantha Devasurendra - Deputy Chairman

Mr. Nadarajah Muralee Prakash - Group Managing Director/CEO

Mr. Priyantha Damian Joseph Fernando - Independent Non- Executive Director

Mr. Shiran Harsha Amarasekera - Non Independent Non- Executive Director

Mr. Ranil Prasad Pathirana- Non Independent Non - Executive Director

Mr. Sarinda Wasanth Unamboowe - Independent Non- Executive Director

Mr. Parakrama Devasiri Rodrigo - Independent Non- Executive Director

Secretaries

Managers & Secretaries (Pvt) Ltd

No. 08, Tickell Road ,

Colombo 08.

Business & Registered Office

No.10, Gotham Road,

Colombo 08

Telephone : 94 11 5328100

Fax : 94 11 5328109

Auditors

ERNST & YOUNG

Chartered Accountants,

No. 201, De Saram Place,

Colombo 10.

Bankers

Seylan Bank PLC - Millennium Branch

Pan Asia Banking Corporation PLC - Head Office

National Development Bank PLC - Head Office